MANDATE

For the discretionary management of investments entered into by and between

**GLOBAL WEALTH ADVISORY (Pty) Ltd**

**FSCA Licence Number: 49263**

(Registration number: 2011/005433/07)

(hereinafter referred to as **the Provider**)

And

ID/Registration number:

(hereinafter referred to as **"the Investor")**

(in terms of subsection 5.1 of the Code of Conduct for Discretionary FSPs)

## 1. Introduction

1.1 The Provider is the holder of a Category II FSP License in terms of the Financial Advisory and Intermediary Services Act 37 of 2002 and is authorised to render intermediary services of a discretionary nature in respect of investment products as set out in this mandate below.

1.2 The Investor wishes to appoint the Provider to manage his/her investments on his/her behalf.

1.3 The Provider is authorised to invest in and switch from any of the following financial product subcategories:

| | SUBCATORY | | SUBCATORY |
|---|---|---|---|
| 2.1 | Long-term Insurance: Subcategory B1 | 2.13 | Long-term deposits |
| 2.2 | Long-term Insurance: Subcategory C | 2.14 | Short-term deposits |
| 2.3 | Retail Pension Benefits | 2.15 | Long-term Insurance subcategory B2 |
| 2.4 | Pension Fund Benefits | 2.16 | Long-term Insurance subcategory B2-A |
| 2.5 | Shares | 2.17 | Long-term Insurance subcategory B1-A |
| 2.8 | Warrants, certificates and other instruments | 2.18 | Structured Deposits |
| 2.9 | Bonds | 2.20 | Participatory interest in a hedge fund |
| 2.10 | Derivative instruments | | |
| 2.11 | Participatory Interests in one or more collective investment schemes | | |

1.4 Prior to entering into this Mandate, the Investor provided the Provider, which obtained from him/her, information with regards to the Investor's financial circumstances, needs and objectives and such other information necessary to enable the Provider to render suitable intermediary services to the Investor in terms hereof.

## 2. Authorisation

2.1 The Investor hereby gives a mandate and authorises the Provider to manage the investment/s on his/her behalf on a full discretionary basis. The Provider accepts such mandate and authority, subject to the conditions contained herein. The Provider shall identify the financial products that best suit the Investor's objectives and risk profile subject to the limitations imposed on the Provider by its licence.

2.2 The Provider will have full discretion in terms of this mandate to manage the investor's portfolio applicable to both local and offshore jurisdictions, unless the Investor indicates in writing that only the local jurisdiction applies.

2.3 Investment products and portfolios will be applied for and signed by the Investor on the applicable initial investment application forms. The Provider shall have full discretion pertaining to the process of managing the Investor's investments and shall not need to obtain instructions from the investor before entering into a transaction (purchase, addition, sell, switch, redemption) on behalf of the Investor agreed to in terms of this mandate, taking the investor's risk profile and investment objectives into account. Within each portfolio, the Provider shall place and/or switch the investments into various funds and/or other financial instruments in accordance with the Provider's internal investment policies.

2.4 The Provider may make use of the services of its staff and/or that of another authorised financial services provider to execute certain administrative functions in the course of rendering intermediary services to the Investor.

2.5 The Provider reserves the right to withhold processing of any unclear, incomplete or ambiguous request forwarded by the Investor.

**3. Investment objectives, risk and time horizon**

3.1 The Investor confirms that the initial desired primary investment objective is:

| | | | | | |
|---|---|---|---|---|---|
| Maximise liquidity | | Capital Preservation | | Capital growth | |
| Combination of liquidity and capital preservation | | Combination of liquidity and capital growth | | | |

Investor Initial

3.2 The initial estimated time horizon of the Investor is set out below and upon expiration this initial term, the Provider shall continue to manage the investments on the basis of a rolling time horizon and shall not assume there is a specific deadline date unless so notified by the investor in writing.

| | | | |
|---|---|---|---|
| Long term: beyond 10 years | | Medium term: 3 – 5 years | |
| Medium-Long term: 5 – 10 years | | Short term: 1 – 3 years | |

Investor Initial

3.3 The Investor's risk profile is determined considering the Investor's current set of information and circumstances and the Investor acknowledges that these circumstances and information may change over time.

Risk preference:

| | | | | | |
|---|---|---|---|---|---|
| Stable<br>0-30% growth assets | | Balanced<br>30-70% growth assets | | Aggressive<br>70% + growth assets | |

Investor Initial

Any further information or restrictions relating to the Investor's investment objectives, risk profile or time horizon

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Investor Initial

3.4 The Investor confirms that, save for any restrictions imposed by law or indicated in clause 3.3 above, no other restrictions apply to the management of the Investments.

3.5 The Provider undertakes to administer and manage the investments in accordance with the objectives, time horizon and risk profile set out in this Mandate above.

3.6 The Investor warrants the ongoing accuracy and correctness of the Investor's investment objectives, time horizon and risk profile and any other information that has been provided to the Provider in order to conclude this Mandate. The Investor undertakes to notify the Provider of any changed or revised circumstances that could affect the management of investments as per this Mandate.

**4. Risk disclosure**

4.1 Risk refers to the inherent risk of capital loss or fluctuation in portfolio valuations over time. The level of risk in a portfolio is determined by (but not limited to) factors such as the general state of the economy (globally and regionally), the market environment, term of investment, level of diversification, regulation and jurisdiction.

4.2 The Provider uses its discretion to invest on the Investor's behalf with great care and diligence. However, the Investor acknowledges that there are risks associated with investing in the financial products involved. The value of the investments and any income may rise as well as fall and there is a risk that the Investor may suffer financial losses. The Investor acknowledges that he/she accepts such risks and that the Provider and/or its staff will not be held liable or responsible for any financial losses, or damages, which the Investor may suffer, of whatsoever nature, whether direct, indirect, special or consequential, unless the claims are attributable to fraud, dishonesty and gross negligence by the Provider or its employees acting in the course and scope of their employment.

4.3 The performance and risk arising from investing in a foreign investment can include (but is not limited) to the following risks: the performance of the underlying investment itself; any fluctuations in the Rand against the underling investment's nominated currency; the time frame required to liquidate a portfolio may be longer for foreign investments; obtaining access to investment performance information may be more difficult than locally based investments; investments are exposed to different tax regimes which may change without warning and which may influence investment returns; exchange control measures may change in the country of investment and it may influence accessibility to the invested capital; emerging markets may be more volatile than developed markets.

4.4 The Provider may make use of wrap funds or Fund of Funds in the management of the investments in terms of this mandate and is therefore required by the FSCA to make certain disclosures regarding wrap funds and how such funds differ from a Fund of Funds.

A Fund of Funds is a collective investment scheme, governed by the Collective Investment Schemes Control Act 45 of 2002 (CISCA). A Fund of Funds cannot invest more than 75% of the value of the fund into any one scheme. Furthermore, CISCA guarantees the repurchase of participatory interest in the fund of funds by the management company.

A wrap fund, by contrast, is a basket of different collective investment schemes and has no limitations on the number of collective investment schemes which it may include in its portfolio. The investment manager of the wrap funds does not directly guarantee the repurchase of underlying participatory interests which comprise the wrap fund. However, a wrap fund is administered and facilitated by a linked investment service provider (LISP). The LISP has service level agreements in place with each management company, which in turns guarantees to repurchase the participatory interests of the underlying schemes which comprise the wrap fund. Any costs specifically applicable to wrap funds as well as additional information will be set out in the application form or supplementary documentation addressed to the investor.

**5. Declaration regarding funds**

5.1 The Investor warrants, declares and undertakes that all funds entrusted and/or delivered by him/her, or under his/her authority, to the Provider in terms or for the purposes of this Mandate are derived from legitimate sources and do not constitute the "proceeds of unlawful activities" either as defined in the Prevention of Organised Crime Act No. 121 of 1998, as amended, or at all.

5.2 The Investor further warrants that, where required, all funds entrusted to the Provider in terms or for the purposes of this Mandate are duly declared in terms of the Income Tax Act of 1962 and that the Investor has obtained all necessary approvals from the South African Reserve Bank for foreign funds, assets, or investments owned by the Investor.

5.3 The Investor hereby confirms that he/she is aware that different investment products and portfolios are treated differently in terms of taxation. The Provider cannot be held responsible for any tax that the Investor may be required to pay on the investments. The Investor accepts full responsibility to declare all taxable income derived from the investments in terms of the Income Tax Act of 1962.

**6. Registration of investments and voting on behalf of Investors**

6.1 The investments shall at all times be registered in the name of the Investor, or a nominee company nominated by the Investor; the nominee company of a product supplier; the nominee company of any registered and licenced depository institution, central securities depository or any bank; an administrative FSP's independent nominee.

6.2 The Provider may vote on behalf of the Investor in respect of a ballot conducted by collective investment schemes in so far as the ballot relates to the investments managed by the Provider on behalf of the Investor.

**7. Treatment of funds**

7.1 The Client may request regular income payments and/or ad hoc withdrawals, subject to applicable legislation, product rules, tax implications, liquidity constraints and the availability of funds. The Client acknowledges that withdrawals may reduce capital, impact long-term performance and, where applicable, affect guarantees or future income sustainability.

7.2 All payments will be made strictly in accordance with the Client's written instruction and paid only into the bank account recorded for the Client with Global Wealth Advisory and/or the relevant product supplier.

7.3 Global Wealth Advisory may process payments to third parties upon receipt of a valid written instruction. While Global Wealth Advisory will take reasonable steps to verify the accuracy and authenticity of banking details in accordance with its internal compliance procedures, the Client acknowledges that responsibility for ensuring that all banking details provided are correct rests jointly with the Client and Global Wealth Advisory.

7.4 Due to the increasing risk of cybercrime, including phishing and payment diversion fraud, any change to banking details must be confirmed telephonically with a known representative of Global Wealth Advisory and confirmed in writing before implementation. Global Wealth Advisory will not change its own banking details without prior written notification issued through official communication channels.

7.5 If the Client receives any communication advising of a change in banking details, the Client must not effect payment and must independently verify the instruction by contacting Global Wealth Advisory directly on **+27 (12) 004 1352**.

7.6 Global Wealth Advisory shall not be liable for losses arising from incorrect, incomplete or fraudulent banking details supplied by the Client, or where the Client failed to follow prescribed verification procedures and Global Wealth Advisory has acted in good faith and with reasonable care.

7.7 All official correspondence from Global Wealth Advisory will originate only from email addresses ending in **"@gwa.co.za"**.

**8. Information to be disclosed**

8.1 The Investor confirms that the Provider shall not be required to provide the Investor with any information other than that which a product provider is required by law to disclose to the Investor.

8.2 The Provider undertakes not to disclose or to communicate any confidential information to any third party, without the prior written permission of the Investor, unless the Provider is required thereto by legislation or order of court.

**9. Reporting**

9.1 The Provider shall furnish the Investor with consolidated investment reports on a quarterly basis, as well as on request, concerning the Investor's investments and may furnish these reports in electronic format, provided that the Investor can access the reports.

9.2 The Provider shall provide to the Investor, on request, in a comprehensible and timely manner, any reasonable information regarding the financial products of the Investor, market practices and risks inherent in the different markets and products.

**10. Remuneration**

10.1 In consideration for the management by the Provider of the investments, the Provider is entitled to an initial administration and structuring fee to a maximum of 1.5% (plus VAT) of the investment consideration or as may be payable by specific investment products from time to time. The Investor shall make payment of an annual management fee to a maximum of 1.00% (plus VAT) based on the market value of investments. Such management fees will be calculated and paid on the market value of the portfolio on a monthly basis, or as per specific investment products. The Investor hereby authorises the Provider to recover fees from the investments and/or the assets underlying the investments.

10.2 In the event of the Provider being remunerated by Life Assurance or Investment Companies or receive investment commission, this fact will be disclosed to the Investor.

**11. Prohibition against selling or buying certain investments**

The Provider shall not directly or indirectly:

11.1 Sell any financial products owned by the discretionary FSP to the Investor;

11.2 Buy for its own account any financial products owned by the Investor.

**12. Disputes**

12.1 If any dispute or difference arises as to the validity, interpretation, effect or rights and obligations of either party under this Mandate, either party shall have the right to require that such dispute or difference be referred for a decision to arbitration before a single arbitrator.

12.2 The arbitration shall be held in an informal manner at the Provider's registered offices and the identity of the arbitrator shall be mutually agreed upon between the parties within a period of 5 (five) working days from the date that the arbitration is called for or failing such mutual agreement within 5 (five) working days, as nominated by the Chairman for the time being of the Pretoria Bar Council. The arbitrator shall be an attorney or advocate of 5 (five) years' standing or more with experience and knowledge of insurance law and with no interest in the proceedings.

12.3 The parties agree to keep the arbitration, its subject matter and evidence heard during the arbitration confidential and not disclose it to any other person.

12.4 The decision of the arbitrator shall be final and binding upon the parties and not subject to appeal.

12.5 The arbitrator shall include in his award and order as to the costs of the arbitration and who shall bear them.

12.6 The arbitrator shall at his/her sole discretion decide on the formulation of the dispute for arbitration but shall at all times be guided by the requirements of the Financial Advisory and Intermediary Services Act 2002 and all applicable ancillary legislation.

12.7 The inclusion of this arbitration clause shall not prevent a party from applying to court for urgent relief in the appropriate circumstances.

12.8 The parties agree that all the terms of this Mandate are material.

**13. Commencement and Termination of mandate**

13.1 This Agreement will commence on the last date of signature hereof.

13.2 The Provider or the Investor shall be entitled to terminate this Mandate by furnishing, the one to the other, not less than 15 (fifteen) calendar days written notice of such termination.

13.3 The Provider shall not initiate any market transactions in respect of any investments on behalf of the Investor after receipt of notice of termination by the Investor of this Mandate unless specifically instructed otherwise by the Investor.

13.4 Upon receipt from the Investor of notice of termination of this Mandate, all outstanding fees owing to the Provider in terms of or arising from the Mandate shall forthwith thereupon be and become due, owing and payable.

13.5 Notwithstanding any other provision in this Mandate, the Provider's appointment shall immediately cease without prejudice to the rights and obligations of the Provider and the Investor if its status as an authorised financial services provider is finally withdrawn in terms of the FAIS Act or any other provision of applicable legislation.

**14 Assignment of rights and obligations**

The provider may, after having advised the Investor in writing, assign its rights and obligations in terms of this mandate to another person or entity entitled in law to manage investments, without obtaining the Investor's consent. The Investor confirms that he or she will be bound by such assignment.

## 15 Domicilium citandi et executandi:

**The Provider at:**

First Floor, Building C
World Bank Office Park
442 Rodericks Road
Lynnwood
Pretoria
0181

The Provider’s email address: info@gwa.co.za

**The Investor at:**

The Investor’s email address:

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Signed for and on behalf of the **Investor**

Signed at ____________________ on ___________________

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**The Investor**

Signed for and on behalf of the **Discretionary FSP**

Signed at ____________________ on___________________

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**On behalf of the Discretionary FSP**